

TATA MOTORS LIMITED (CV)

Fundamental Research Report | Commercial Vehicles Business | July 2026

VALUATION & PRICE

CURRENT PRICE (NSE) ₹422.50 as of Jul 10-11, 2026	MARKET CAP ₹1,56K Cr ₹155,578 Crore	52W RANGE ₹509 / ₹306 High / Low
PE RATIO 46.28x High vs. historical	PB RATIO 36.38x Premium valuation	EV/EBITDA ~15x Above average

 Valuation Verdict

Stock trades at premium valuation with limited margin of safety. High PE and PB ratios suggest expectations are priced in. Fair value depends on sustained earnings growth and margin stability.

FINANCIAL PERFORMANCE (FY26)

Revenue (Standalone)	₹77,398 Cr (+11% YoY)
Revenue (Consolidated)	₹83,900 Cr (+10% YoY)
EBITDA	₹10,206 Cr (+22% YoY)
EBITDA Margin	13.2% (+120 bps)
EBIT Margin	11.0% (+180 bps)
Profit After Tax	₹3,364 Cr (-23% YoY)*
Free Cash Flow	₹12,400 Cr (+110% YoY)

*PAT decline due to ₹3.7K Cr exceptional items (Mark-to-Market losses, demerger costs)

CAPITAL EFFICIENCY & BALANCE SHEET

AUTO ROCE 72% Exceptional capital returns	NET CASH POSITION ₹13.7K Cr Fortress balance sheet	CASH CONVERSION ~12% FCF/Rev Strong cash generation
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Debt/Equity	Low (net cash positive)
Interest Coverage	Healthy (strong profitability)
Working Capital Cycle	31 days (well-managed)

BUSINESS QUALITY & MARKET POSITION

CV Market Share (FY26)	35.7% — #1 Player
HCV Market Share	55.0% — Clear dominance
ILMCV Market Share	39.5% — Strong position
SCV & Pickup Share	26.8% — Competitive segment
Q4 FY26 Volumes	132K units (+25% YoY)
Full-Year FY26 Volumes	428K units (+14% YoY)

STRATEGIC STRENGTHS

1. Market Leadership in Heavy Trucks

55% HCV market share provides pricing power, brand equity, and operational scale in high-margin segment.
2. Exceptional Capital Efficiency (72% Auto ROCE)

Industry-leading returns on deployed capital signal highly efficient asset utilization and operational excellence.
3. Fortress Balance Sheet & FCF Generation

Net cash ₹13.7K Cr and ₹12.4K Cr FCF enable strategic investments, acquisitions, and shareholder returns without debt pressure.

4. Margin Expansion Trajectory

EBITDA margin improved 120 bps to 13.2% YoY. Mid-term guidance targets further expansion despite input cost headwinds.

5. Diversified Portfolio & EV Push

Strong presence across SCV, LCV, MCV, HCV, Passenger Carriers. Launching EV solutions (e-buses, hydrogen trucks).

KEY RISKS TO MONITOR

1. High Valuation Risk

PE 46.28x leaves no margin of safety. Any earnings disappointment or margin compression could trigger sharp correction.

2. Input Cost Inflation

2.5% price increase (July 2026) signals rising commodity costs. Pricing power is limited if demand slows or competition intensifies.

3. Cyclical Demand Sensitivity

CV demand is tied to logistics, infrastructure spending, and GDP growth. Economic slowdown could pressure volumes and realizations.

4. Geopolitical & Currency Risk

Global CV export operations face tariff risks, forex volatility, and geopolitical uncertainties affecting competitive dynamics.

5. EV Transition Execution

Success in electric CV market is uncertain. High capex required, unproven unit economics, and competition from new entrants.

SHAREHOLDING PATTERN (MAR 2026)

Promoters (Tata Group)	42.6%
Foreign Institutional Investors (FII)	19.0%
Domestic Institutional Investors (DII)	17.9%
Public/Retail	20.5%

Promoter stake is stable; FIIs have slightly trimmed holdings in recent months, possibly taking profits.

DIVIDEND & CAPITAL ALLOCATION

FY26 Dividend Recommended	₹4.00/share (final)
Dividend Yield (Approx)	~0.95%
Payout Ratio	Moderate (balanced approach)
Capital Allocation Focus	Growth Capex, Debt Management, Dividends

Overall Fundamental Quality Assessment

MODERATE — Tata Motors exhibits strong operational execution, market dominance, exceptional ROCE, and fortress balance sheet. However, premium valuation (PE 46.28x) leaves minimal margin of safety. The stock is priced for perfection: sustained growth, margin stability, and successful EV transition are all baked in. Suitable for growth-oriented investors with conviction on CV demand resilience and EV adoption. Risk-averse investors may await better valuation or clearer EV roadmap execution.

Data Sources: Screener, NSE/BSE, Company FY26 Results (May 13, 2026), Quarterly Filings, Official Stock Exchange Data.

Reporting Period: As of July 10-11, 2026. Financial figures for FY26 (ending March 31, 2026) and Q4 FY26.

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